



The Entrepreneur's Wealth Extraction Roadmap

The financial decisions that shape
what you keep when you exit your business.

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Building a company and getting wealth out of it are different problems. Whether you're five years from an exit or five months, this roadmap covers the decisions to work through with your team.

Business Valuation

- ☐ **Do you have a current, independent business valuation?** Not a back-of-napkin number. A formal valuation sets the foundation for every exit decision that follows.
- ☐ **Do you understand which valuation method applies?** EBITDA multiples, discounted cash flow, asset-based, comparable transactions. Each produces a different number.
- ☐ **Have you identified the value drivers a buyer will care about most?** Recurring revenue, customer concentration, owner dependency, gross margins, growth trajectory. How much of your revenue depends on your personal relationships? A buyer will ask, and so should you.

Entity Structure & Tax Positioning

- ☐ **Is your entity structured to minimize the tax impact of a sale?** A stock sale and an asset sale can produce very different after-tax results. The structure you chose at founding (C corporation, S corporation, or LLC) may not be the right one for an exit.
- ☐ **Have you evaluated QSBS (Section 1202)?** Qualified small business stock can let you exclude some or all of the gain on C corporation stock from federal tax. For stock acquired after July 4, 2025, the per-company limit is generally the greater of \$15 million (adjusted for inflation starting in 2027) or 10 times your basis, and a partial exclusion is available after 3 or 4 years. Stock acquired on or before that date keeps the older rules: generally the greater of \$10 million or 10 times basis, with a holding period of more than 5 years. The requirements are specific and state treatment varies, so ask your CPA whether your stock could qualify.
- ☐ **Are you using an IDGT or estate vehicle to transfer interests?** Moving business interests to family or a trust while they're valued before a sale is an estate planning question. Your estate attorney and CPA should look at it together.

Cash Flow & Income Replacement

- ☐ **Do you know your post-exit income need?** What does your life cost per month without the business? Include health insurance, taxes on withdrawals, and a buffer.
- ☐ **Have you modeled the after-tax proceeds?** Federal capital gains, state capital gains, depreciation recapture, ordinary income recapture, and the net investment income tax can all come into play on a business sale.
- ☐ **Do you have a wealth management plan for the proceeds?** Deciding how the proceeds will be invested, and what they need to pay for, is easier before the close than after the money lands.

Succession & Continuity

- ☐ **Do you have a written succession plan?** If you're hit by a bus tomorrow, who runs the business? Who has the passwords, banking access, vendor relationships?
- ☐ **Have you evaluated internal sale vs. external sale vs. ESOP?** Each has different tax treatment, timelines, and tradeoffs. Your financial planner should be modeling all three.
- ☐ **Do you have a buy-sell agreement with your partners?** Without one, it can be unclear what happens to your share if you die, become disabled, or want out.

Tax Timing & Strategy

- ☐ **Have you considered an installment sale (Section 453)?** An installment sale generally lets you report the gain as payments come in rather than all in the year of sale. Depreciation recapture is still taxed in the year of sale, and large installment notes can carry an interest charge.
- ☐ **Have you explored a Charitable Remainder Trust?** A charitable remainder trust can receive business interests before a sale, pay you an income stream for life or a set term, and give you a partial charitable deduction. The trust doesn't pay tax when it sells, but the payments you receive generally carry that gain out to you over time. The transfer has to happen before a sale is locked in.

The Advisory Team

- ☐ **Do you have all four: financial planner, CPA, estate attorney, M&A advisor?** Each handles a different piece. If any one is missing, you have a gap. Coordination is the financial planner's job.
- ☐ **Are all four working from the same playbook, or operating in silos?** If your CPA hasn't spoken to your estate attorney this year, nobody is coordinating your full picture.

Is your exit plan built, or just imagined?

If some of your answers were "not yet," that's the list to bring.

Book a 15-minute intro call. We'll talk about your timeline, your structure, and whether your current team has the full picture.

By the end, I'll tell you whether it's worth going deeper in a second conversation, or whether I'm not the right fit.

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[Schedule a 15-minute call](#)